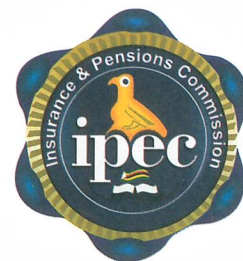


Insurance & Pensions Commission



Circular 11 of 2023

16 March 2023

To: Principal Officers-All Life and Funeral Assurance Companies
Principal Officers-All Short-Term Insurance Companies
Principal Officers-All Reinsurance Companies
Principal Officers-All Insurance and Reinsurance Brokers
Principal Officers-All Microinsurance Companies

Cc: Insurance Council of Zimbabwe (ICZ)
Life Offices Association (LOA)
Zimbabwe Association of Funeral Assurers (ZAFA)
Zimbabwe Association of Reinsurance Organisations (ZARO)
Insurance Brokers Association of Zimbabwe (IBAZ)

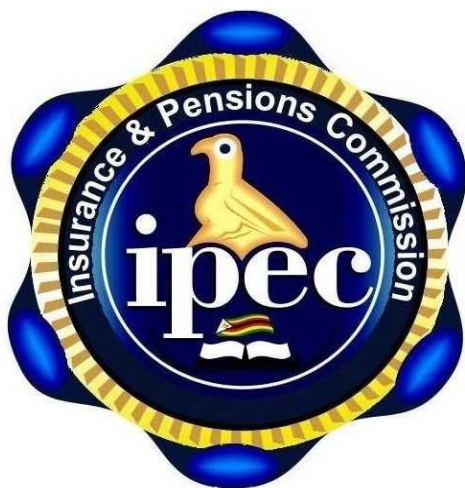
GUIDELINE FOR REGULATION OF OFFSHORE INVESTMENTS

1. In a bid to enforce compliance with section 25 of the Insurance Act [Chapter 24:07], the Commission is issuing the guideline attached to this Circular to guide the insurance industry on offshore investments.
2. This guideline provides the requirements for making applications for offshore investments and how these investments will be monitored.

Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS

INSURANCE AND PENSIONS COMMISSION



GUIDELINE FOR REGULATION OF OFFSHORE INVESTMENTS

Contents

I. Definition of Terms	3
1. Introduction.....	4
2. Scope of Application	4
3. Empowering Legislation	4
4. Objectives of the Guideline	5
5. General Responsibility of the Regulated Entity	5
6. Specific Requirements for Authorisation of Offshore Investments.....	5
7. Integrity of Funds to be Invested Offshore	6
8. General Principles Applicable on Governance Structures.....	7
9. Intra- Group Transactions	7
10. On-Site Supervision of Foreign Investments	8
11. Off-Site Supervision of Foreign Investments	8
12. Disclosure Requirements.....	9
13. Methods of Corrective Intervention	9
14. Methods of Resolution of the Foreign Entity	11
15. Review of the Guideline	11
16. Effective Date of the Guideline	12

i. DEFINITION OF TERMS

Associated company: is a company in which a significant portion of shares is owned by a parent company, usually between 20% and 50%. It is also known as an affiliate company.

Branch: a division or office of a regulated entity.

Compelling circumstances: refers to situations or conditions likely to pose systemic risk.

Commission: shall mean the Insurance and Pensions Commission.

Insurer: a person, including a society, carrying on insurance business otherwise than as an insurance agent or as an insurance broker, who is not a person or a member of a class of persons declared to be exempt from the Insurance Act [*Chapter 24:07*].

Mutual insurance society: shall mean a society or association as defined in terms of section 11 of the Insurance Act [*Chapter 24:07*].

Offshore investment: shall mean an investment on a cross-border basis even without establishing a subsidiary, branch, or joint venture in those jurisdictions.

Registered insurance entity: shall mean an insurance company, reinsurance company, mutual society and insurance broker, registered in terms of the Insurance Act [*Chapter 24:07*].

Regulated entity: refers to an insurer, insurance broker, and any other entity regulated by IPEC in terms of the Insurance Act [*Chapter 24:07*].

Subsidiary: refers to legal entity which is wholly, or majority owned or controlled by an insurer or insurance holding company. Ownership stake should be at least 51%.

1. INTRODUCTION

- 1.1 This Guideline has been developed to provide guidance on offshore investments in terms of section 25 of the Insurance Act [*Chapter 24:07*].
- 1.2 The guideline covers general principles to be adhered to by registered entities prior to authorisation of offshore investments, specific documents required, governance issues, disclosure requirements and resolution of troubled entities among others.
- 1.3 The guideline deals with the prudential supervision of regulated entities' subsidiaries, branches, associated companies and any other type of offshore investments by IPEC licensees.
- 1.4 Prudential and market conduct issues shall fall under the jurisdiction of the host country regulators although the Insurance and Pensions Commission (IPEC) may cooperate with the foreign regulators in line with any pre-agreed memoranda of understanding or otherwise as international standards may prescribe.

2. SCOPE OF APPLICATION

- 2.1 This Guideline applies to all insurance companies and brokers that are licensed and supervised by the Insurance and Pensions Commission (IPEC) under the Insurance Act [*Chapter 24:07*].

3. EMPOWERING LEGISLATION

- 3.1 This guideline is issued in terms of section 3 of the of the Insurance and Pensions Commission (Issuance of General Guidelines and Standards) Regulations Statutory Instrument 69 of 2020 read in conjunction with section 25 of the Insurance Act.
- 3.2 Other applicable legislative and regulatory frameworks include:
 - i. Money Laundering and Proceeds of Crime Act [*Chapter 9:24*];
 - ii. Exchange Control Act [*Chapter 22:05*];
 - iii. Risk Management and Corporate Governance Directives (for insurance companies); and

- iv. Any other relevant circulars, directives or guidelines issued by IPEC.

4. OBJECTIVES OF THE GUIDELINE

The primary objectives are:

- i. To close regulatory gaps in the supervision of cross-border investments, head office, branches, and subsidiaries of regulated entities in Zimbabwe.
- ii. To establish principles for **authorisation** of cross-border investments, head office, branches, and subsidiaries of regulated entities.
- iii. To establish principles for **supervision** of cross-border investments, head office, branches, and subsidiaries of regulated entities.
- iv. To give guidance on the processes and procedures in exiting foreign markets by IPEC licensees.

5. GENERAL RESPONSIBILITY OF THE REGULATED ENTITY

It is the primary responsibility and duty of the regulated entity to ensure that **ALL** compliance matters of the foreign branch, subsidiary, associate, or head office meet host-country compliance requirements and IPEC's prescribed minimum prudential and other regulatory requirements (whichever ranks superior) on an on-going basis.

6. SPECIFIC REQUIREMENTS FOR AUTHORISATION OF OFFSHORE INVESTMENTS

- 6.1 All foreign investments of the regulated entity must be authorised, in writing, by the Commission in compliance with section 25 of the Insurance Act. Further, every regulated entity shall ensure that in making foreign investments they comply with the Exchange Control requirements.
- 6.2 In making an application for offshore investment the following documents shall be submitted:
 - a. In the case of an Insurer, the latest actuarial certificate which demonstrates a clear separation of policyholder funds and shareholder funds in terms of Section 29 of the Insurance Act;

- b. Board resolution on offshore investment;
 - c. Motivation of the rationale and financial appraisal of offshore investment proposal certified by an actuary or auditor;
 - d. Proof of the source of the funds;
 - e. Application letter specifying classes of business or asset class/es to be invested in;
 - f. Confirmation letter from the host regulator in cases where the entity wants to set up a branch or subsidiary; and
 - g. Such information as may be required by IPEC.
- 6.3 In granting the authority, the Commission shall consider the following factors:
- a. Compliance with local licencing conditions and requirements of the Insurance Act as the case may be;
 - b. Where necessary, copies of approvals from the host regulator of the proposed executive management and the board of directors of the proposed foreign branch or subsidiary; and
 - c. Nature of investments, e.g. the Commission will not approve applications for investment in virtual and unregulated currencies and instruments.
- 6.4 The Commission shall provide a response in writing within 30 working days and may impose such conditions as necessary in line with section 25 of the Insurance Act.
- 6.5 Remittance of funds to be used for investments offshore shall be subject to the Exchange Control approval.

7. INTEGRITY OF FUNDS TO BE INVESTED OFFSHORE

- 7.1 The applicant shall demonstrate, to the satisfaction of the Commission, that such funding of foreign investments is not for purposes of externalisation of funds or asset-stripping of the local parent company or head office in Zimbabwe.

7.2 In accordance with Money Laundering and Proceeds of Crime Act [Chapter 9:24], the regulated entity shall provide proof of the source of the funds for the Commissioner's records.

8. GENERAL PRINCIPLES APPLICABLE ON GOVERNANCE STRUCTURES

8.1 The Board of directors of the parent company in Zimbabwe shall ensure sound and prudent governance and management of the entire subsidiaries including the established foreign entity.

8.2 Where a registered insurance company establishes a foreign branch or subsidiary, it is expected to comply with the host country's governance requirements.

8.3 An entity may, where IPEC laws are of an advantage to the foreign subsidiary or branch, adopt IPEC requirements to derive superior benefits provided they can demonstrate compliance with the laws of the host country.

8.4 A foreign branch or subsidiary shall have or observe the following:

- i. A sound and adequate corporate governance framework;
- ii. Adequate policies and procedures that enable potential intra-group conflicts of interest to be avoided, and actual conflicts of interest to be identified and managed.
- iii. Strong risk management framework, a robust internal control system, effective internal audit and compliance functions.
- iv. Ensure that the regulatory capital in a subsidiary and the corresponding capital requirements are calculated according to the rules applicable to the host-jurisdiction in question.
- v. A governance code.

9. INTRA- GROUP TRANSACTIONS

9.1 The group shall:

- a. Develop and implement a Transfer Pricing policy on related party transactions;

- b. Ensure that **ALL** related party transactions with the foreign subsidiary, branch, head office are conducted at arm's length; and
- c. Ensure integrity and transparency of related party transactions.

9.2 **Shared services at the group level:** Where the entity regulated under the Insurance Act uses shared services at the group level, such an entity shall ensure that the head of the shared function at the holding company meets the fit and proper criteria set by either the host regulator and/or the Insurance and Pensions Commission.

9.3 **Risk concentrations and intra-group transactions:** The insurer shall put in place effective systems and processes to manage and report group-wide risk concentrations and intra-group transactions and exposures per business unit.

10. ON-SITE SUPERVISION OF FOREIGN INVESTMENTS

10.1 At the invitation of the host regulator and under compelling circumstances, the Insurance and Pensions Commission may conduct onsite inspections on major offshore investments of any of its local licensees.

10.2 The cost of such inspections shall be wholly funded by either the local head office or the foreign-based subsidiaries, branches, associate companies, or other investments.

10.3 Where such cross-border onsite inspections are done, such costs shall be on a cost-recovery basis.

11. OFF-SITE SUPERVISION OF FOREIGN INVESTMENTS

11.1 The Commission reserves the power to conduct offsite inspections on all foreign-based subsidiaries, branches, associate companies, or other investments.

11.2 Such offsite inspections may or may not include the host regulator(s).

11.3 To enable smooth and expeditious conclusion of such off-site inspections, the board and management of local registered entities must ensure timely submission of relevant documents and information.

11.4 If hard copies are required, the cost of such inspections shall be wholly funded by the foreign-based subsidiaries, branches, associate companies, or other investments.

12. DISCLOSURE REQUIREMENTS

12.1 Regulated entities shall be required to report to the Commission on the performance of their offshore investments on a quarterly basis.

12.2 The Commission upon engagement with the host regulator, may request for submission of documents and information, including but not limited to the following:

- a. Audited or unaudited financial statements.
- b. Minutes of main board and committee meetings.
- c. The organogram of the foreign entity.
- d. Copies of internal auditor's report to the board.
- e. Copies of industry reports done by the host-regulator (quarterly, semi-annual or annual reports).
- f. Copies of financial returns submitted to the host-regulator (quarterly, semi-annual or annual reports).
- g. Copy of policies and procedure manuals.
- h. Copies of latest rating of the entity by independent rating agencies.
- i. Copies of onsite inspection or investigation report by the host-regulator.
- j. Any document or information concerning the regulated entity which the inspectors may require.

13. METHODS OF CORRECTIVE INTERVENTION

Largely guided by the findings of onsite and/or off-site inspections, the Insurance and Pensions Commission shall work in consultation with the

host regulator to implement any or a combination of the following corrective methods:

- i. **Intervention Power:** IPEC may use bilateral agreements or memoranda of understanding with the host jurisdiction to intervene under compelling circumstances.
- ii. **Imposition of additional capital or provisions:** The Commissioner may be persuaded to facilitate and authorise repatriation of additional capital to the offshore investment provided that local prudential and other compliance requirements were met by the local entity.
- iii. **Downgrading or upgrading the foreign investment:** If warranted by policyholder protection issues and sustainable high returns on foreign investments, the insurer may apply to upscale its foreign branch to a subsidiary, associated company or head office on a case-by-case basis. Conversely, with approval of the Commissioner, arrangements may be done to down-size the size and scale of the foreign investments.
- iv. **Suspension of branch operations:** Temporary suspension of operations shall be triggered where the branch fails to meet its regulatory and contractual obligations. The local parent company or foreign investment shall keep the Commissioner informed of such a development until its final resolution.
- v. **Closure of a branch:** Should the host regulator decide to close the foreign operation, the local head office or foreign investment, shall inform such a development to the Commissioner within 7 days of the decision being made.
- vi. **Cross-border cooperation:** The Commissioner may opt to pursue various cross-border initiatives such as becoming members of supervisory colleges with host supervisors where the cross-border investment is of systemic importance to the local parent office.

14. METHODS OF RESOLUTION OF THE FOREIGN ENTITY

In collaboration with the host regulator and depending on the financial condition of the foreign branch, subsidiary, associate or investment, the Insurance and Pensions Commission shall use various troubled-insurer resolution method(s) to resolve the issue as follows:

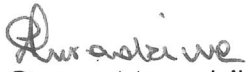
- i. **Rehabilitation:** Management, in close consultation with home and host regulators, works to address identified issues in order to return the institution to a sound position. Various initiatives such as run-off or exiting lines of businesses, portfolio transfer, or partial sales may be used.
- ii. **Restructuring:** The subsidiary, branch or associate company could be sold as a legal entity.
- iii. **Run-off:** In consultation with the host regulator, the branch, subsidiary or associate etc may be required to run-off insurance contracts to expiry.
- iv. **Portfolio Transfer:** The whole portfolio of insurance contracts could be immediately transferred to third parties who are willing and able to insure the book of business.
- v. **Wind-up:** IPEC and host country regulators may agree to issue a final resolution resulting in the liquidation of the assets of the branch.

15. REVIEW OF THE GUIDELINE

The Commission reserves the right to cancel, amend or replace this guideline as and when there are developments that warrant such action. The action taken by IPEC shall be to ensure that the guidance provided herein is in line with legal and regulatory frameworks governing the insurance industry in Zimbabwe and emerging best practice.

16. EFFECTIVE DATE OF THE GUIDELINE

The guideline is effective with immediate effect.



Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS

Dated 16 March 2023